ORACLE CORPORATION(NYSE: ORCL)

EQUITY RESEARCH / STOCK PITCH REPORT

Ticker: ORCL | **Industry:** Software & Cloud | **Market Cap:** $433B | **Current Price:** $126

Recommendation: Buy | **Target Price:** $218

What does Oracle do?

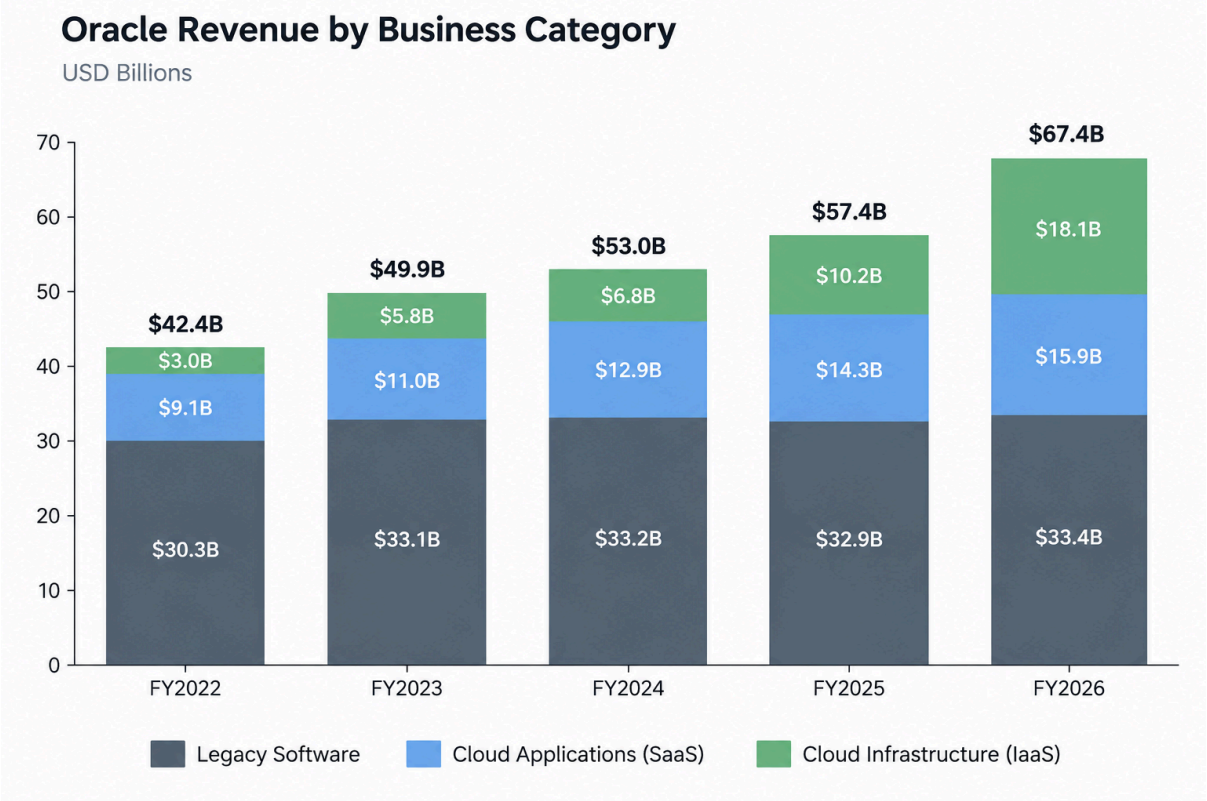
1. Cloud Infrastructure (IaaS)
Builds data centres and rents computing capacity to customers.

- **AI companies:** OpenAI, xAI and Cohere etc. use cloud infrastructure for AI workloads.
- **Enterprises:** Uber, FedEx and Tiktok etc. use cloud infrastructure for enterprise workloads.

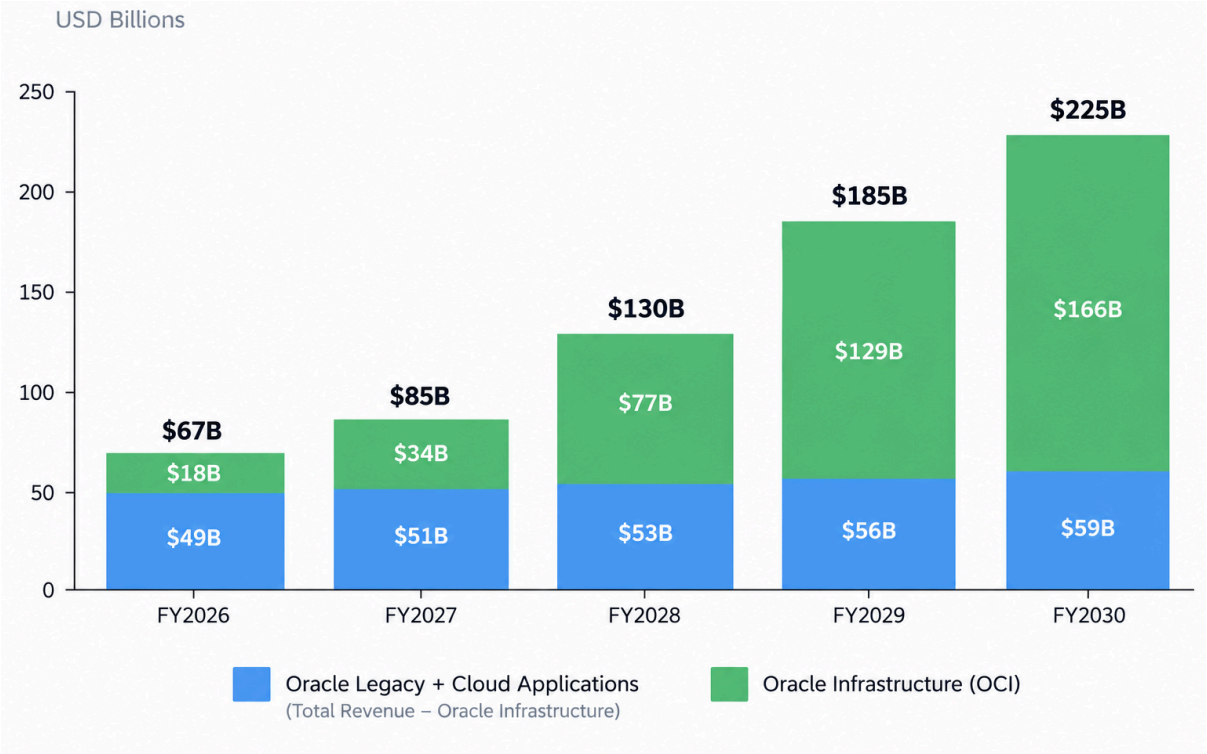
2. Cloud Applications (SaaS)
Sells enterprise software through cloud subscriptions.

- ERP (finance and accounting), HCM (HR and payroll), SCM (supply chain management) and NetSuite (business management software).

3. Legacy Software
Provides database software, Java, on-premises software licenses, support and maintenance, and hardware.



Future Guidance/Outlook given by Oracle



Future Oracle: 1 Company - 2 Business (FY2026 - FY2030)

Oracle Cloud Infrastructure	Oracle Cloud Applications + Oracle Legacy
High Growth: Driven by AI data center demand.	Low Growth
Low Margin 10%-30%	High Margin 40%-80%
High Capex, Cash Burn: Huge upfront datacenter/GPU investments.	Cash Positive
Unpredictable Revenue Highly AI-dependent growth trajectory.	Predictable Revenue: Steady consistent recurring revenue.

Current oracle's remaining performance obligation(Future revenue contracts) is $664 Billion, Primarily driven by customer demand for AI Training and AI Inferencing Services(AI usage by real customers).

Oracle FY26 Capex in building new AI data centers = $55.7 billion
Oracle FY27 Capex in building new AI data centers = $95 billion (Guided)

Investment Thesis

Oracle's Cloud Applications and Legacy Software are highly predictable with high-margin and positive cash flows. Oracle's guided annualised growth rate is 4.7%. I assume this outlook remains broadly stable in the near term, while long-term growth gradually converges towards global economic growth (3%).

Oracle Cloud Infrastructure (OCI), however, requires much more attention. Given its high capex and high growth. Eventual returns on invested capital in the cloud infrastructure will determine whether Oracle becomes a value creator or a value destroyer.

Oracle Cloud Infrastructure will largely determine Oracle's future. So, let's build out different scenarios around Oracle Cloud Infrastructure.

A significant portion of Oracle's cloud compute demand is coming from AI model companies renting infrastructure to train and run(Inference) their models.

AI model companies ability to keep renting compute depends on two things:

- **In the short term:** The availability of investor funding to support their spending.
- **In the long term:** AI adoption and the revenue generated by AI applications.

Ultimately, Oracle's future depends on whether investor-funded AI spending can transition into sustainable, customer-funded demand.

Is AI here to stay?

It is becoming increasingly integrated into our daily lives and work in an irreversible fashion:
1) Traditional Internet searching and surfing → Simply ask AI a question
2) Traditional Coding → Give a prompt to AI Agents
3) The way we do shopping (product search, product comparison, product reviews)
4) Content creation(Text, Image, Audio, Video)

As the AI capabilities continue to grow, we can expect its use cases to expand over time. Therefore we can comfortably assume that AI adoption will continue to grow.

The real question is whether AI adoption and monetisation will justify the enormous investment being made into building huge data centers(compute infrastructure). Or will we end up with overcapacity?

Can AI demand justify infrastructure investment(building huge data centers)?

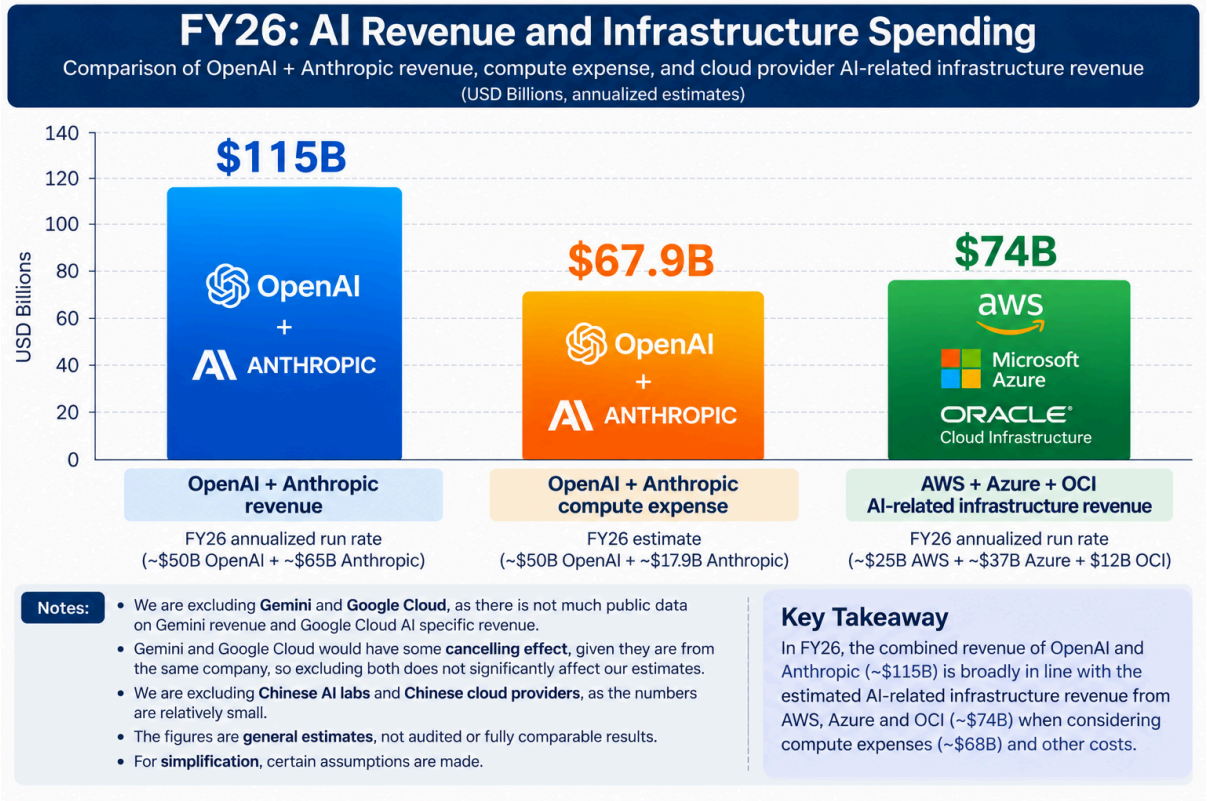
To quantify this let’s take 2 quantitative indicators:

Metric	Quantitative Indicator
AI Demand	AI model companies revenue
Cloud Compute Infrastructure Investment	Cloud companies capex

Why we choose “AI model companies revenues” as the quantitative indicator instead of “AI model companies investor funding”:

“AI model companies investor funding” → In short-term this is the better indicator of actual money spent by AI model companies to rent cloud compute. This is very speculative in nature, driven by market mood and market forces, which cannot be easily predicted.

“AI model companies revenues” → In long-term this what actually supports the money spent by AI model companies to rent cloud compute. And this is relatively more predictable and recurring.



Based on the latest Anthropic IPO S-1 form (for the six months ended June 30, 2026), operating revenue stood at $16.2 billion against total operating expenses of $16.9 billion. This indicates that Anthropic is burning very little cash at the operating level, meaning FY26 AI spending is robustly backed by revenue. Consequently, there is no overbuilding of compute capacity currently, and major cloud providers are operating near full infrastructure capacity.

This raises the key question: **Will we see an overcapacity of cloud infrastructure in the future?**

- **Anthropic YoY Revenue Growth (FY25 → FY26):** ~600%
- **OpenAI YoY Revenue Growth (FY25 → FY26):** ~150%

Cloud GPU and server capital expenditure typically precedes revenue realization by less than six months. This time lag is a critical factor for our thesis, as it represents the window between capacity building and actual revenue recognition.

While some argue that AI model companies might inflate current spending using investor funds to train new models, conservative projections suggest AI revenue could still grow by 50% to 100%. Even in a scenario with temporary overcapacity, the six-month signaling window allows cloud providers to identify demand slowdowns early, pause new capex, and let high organic AI revenue growth absorb the capacity within a year or two in the worst case.

To monitor this closely, we should track whether AI revenue growth and new data center capex.

A significant divergence, where AI capex vastly outpaces expected revenue growth, would be a red flag. Currently, the market does not exhibit this imbalance. Therefore, we do not foresee massive impairments from overcapacity.

Conclusion: In the worst case, AI cloud infrastructure impairment would be that overcapacity sits ideal for 1 year.

So, Lets do valuation for see 2 cases:
Scenario 1: AI models intelligence stops growing. AI revenue growth halts in 2028.

Scenario 2: AI models intelligence continues to grow. Since we cannot imagine a long-term future with high predictability, let's consider AI revenue growth to slow down in 2030.

Valuation:

Scenario 1:

	FY26	FY27	FY28
Revenue (Billions)	67.3	90	130
Op Margin	31%	28%	28%
Operating Income	20.6	25.2	36.4
Op Income (1-0.21)		19.9	28.75
Capex	47.7	90	124
Dep	7.6	14.8	32.34
UnLevered FCF		-55.3	-62.9
WACC	11.10%	11.10%	11.10%

Terminal Value FY28 = 934 Billion
Total PV = 655 Billion USD
Present Value per Share = 218 USD

WACC Terminal (FY29 onwards)	
Terminal Growth	3%
Terminal WACC	8.10%
Dep Correction	214

Scenario 2:

	FY26	FY27	FY28	FY29	FY30
Revenue (Billions)	67.3	90	130	185	225
Op Margin	31%	28%	28%	28%	30%
Operating Income	20.6	25.2	36.4	51.8	67.5
Op Income (1-0.21)		19.9	28.75	40.9	53.3
Capex	47.7	90	124	102	30
Dep	7.6	14.8	32.34	54.18	70
UnLevered FCF		-55.3	-62.9	-6.9	97.8
WACC	11.10%	11.10%	11.10%	11.10%	11.10%

Terminal Value FY30 = 1238 Billion
Total PV = 771 Billion USD
Present Value per Share = 257 USD

WACC Terminal (FY31 onwards)	
Terminal Growth	3%
Terminal WACC	8.10%
Dep Correction	229